

HR FROM SCRATCH

*The Complete Guide to Building People Operations in Startups and
Scale-Ups*

MAYUR N KOIKAR

The HR Mastery Series™ by Mayur N Koikar — Book 4

Copyright © 2024 by Mayur N Koikar

All rights reserved. No part of this publication may be reproduced, distributed, or transmitted in any form or by any means, including photocopying, recording, or other electronic or mechanical methods, without the prior written permission of the author, except in the case of brief quotations embodied in critical reviews and certain other noncommercial uses permitted by copyright law.

Published by Mayur N Koikar

Part of The HR Mastery Series™

The information in this book is intended to serve as a practical guide for HR practitioners and business leaders. It does not constitute legal, financial, or professional advice. Readers should consult qualified professionals for advice specific to their circumstances. The author makes no representations or warranties regarding the accuracy or completeness of the content.

First Edition

ISBN: [To be assigned by KDP]

Printed in the United States of America

To every founder who stayed up late wondering if they were doing right by their people.

And to every first HR hire who walked into a company with no policies, no processes, and no roadmap — and built something remarkable anyway.

This book is for you.

"Culture is not something you build after you hire people. It is something you are building with every single decision you make before, during, and after you hire them."

— Attributed to early-stage startup wisdom

"The best time to build HR is before you desperately need it. The second best time is right now."

— Mayur N Koikar Foreword

Preface

TABLE OF CONTENTS

PREFACE	1
ACKNOWLEDGEMENTS	3
HOW TO USE THIS BOOK	4
The People Problem No One Prepared You for ...	6
Before You Build	9
Why HR in Startups Is Different ...	10
The First HR Hire — What This Role Really Looks Like ...	20
Where to Start — the HR Audit and Priority Map ...	29
The Foundations	39
Policies, Compliance, and the Employment Framework ...	40
Compensation and Benefits in Startups ...	49
The Hiring Engine — Talent Acquisition At Speed ...	58
Culture and Experience ...	68
Culture by Design, Not Accident ...	69
Onboarding That Actually Works ...	77
Performance in a Startup World ...	85
Growing Up	94
Moving From 20 to 100 People ...	95
Moving From 100 to 500 People ...	103
Building and Leading the HR Team ...	111
The People Leader's Playbook ...	118
Working With Founders and the CEO ...	119
HR Metrics and People Data for Startups ...	127
Future-Proofing Your People Function ...	135
You Are Building Something That Matters ...	143
HR From Scratch Readiness Checklist™ ...	146
The Startup HR Policy Toolkit ...	150
Hiring Scorecard and Interview Framework ...	152
The 30-60-90 Day Plan for First HR Hires ...	155
HR Metrics Dashboard for Startups ...	158
GLOSSARY	162
BIBLIOGRAPHY	166
INDEX	168
ABOUT THE AUTHOR	169

INDEX	172
-------------	-----

PREFACE

I have spent the better part of my career working inside organizations — large ones, growing ones, and ones that were figuring everything out as they went. I have sat across the table from founders who built brilliant products and had no idea what to do when their fifth employee handed in their resignation. I have watched companies double their headcount in twelve months and collapse under the weight of culture problems that nobody saw coming. And I have seen the look on the face of a first HR hire on their first day: excitement, determination, and a quiet, private terror.

That terror has a name. It is the realization that you have been brought in to build something from nothing, with no blueprint, no predecessor to learn from, and no instruction manual.

Until now.

This book is the instruction manual I wish had existed. It is not a book about HR theory or proven practice in the abstract. It is a book about what you do on Monday morning when you are the first HR person in a forty-person company and the CEO has just told you that three people in engineering are about to quit. It is about what to build first, what to build next, and what to build when the company has grown beyond anything you originally planned for.

The HR Mastery Series™ was created to make real, practical HR knowledge accessible to professionals at every level. This volume — HR From Scratch™ — is designed for the people who are building the people function from zero. For founders who are also accidental HR managers. For the first HR hire stepping into a role that barely existed before they arrived. For the people leader in a scale-up who is running to keep up with a company that is growing faster than any system can contain.

Every piece of advice in this book has been stress-tested against the reality of fast-moving, resource-constrained, high-stakes startup and scale-up environments. There are no ivory tower prescriptions here. There are practical frameworks, honest

assessments of what matters and what can wait, and real-world examples drawn from the kinds of situations HR professionals in growth companies face every day.

You are building something that matters. People are the most important asset any company has, and the decisions you make about how to hire them, develop them, engage them, and sometimes let them go will shape the trajectory of the business for years to come.

Let us build it together.

Mayur N Koikar

Author, The HR Mastery Series™ Acknowledgements

ACKNOWLEDGEMENTS

Every book is a collaboration, even when a single name appears on the cover.

I am grateful to the many founders, CEOs, and business leaders who have trusted me with their most important decisions — their people decisions. Each conversation has sharpened my thinking and deepened my conviction that getting HR right in the early days of a company is not a nice-to-have. It is existential.

I am grateful to the HR practitioners who shared their stories of building from scratch: the chaos, the breakthroughs, the policies written on weekends, the culture interventions that changed a company's trajectory. You are the real authors of this book's wisdom.

I am grateful to the community of HR professionals who read, challenge, discuss, and push the discipline forward every day. Your commitment to elevating the profession inspires everything I write.

And I am grateful to my readers. You are why this series exists.

How to Use This Book

HOW TO USE THIS BOOK

This book is organized to serve you wherever you are in the startup journey.

If you are a founder or business leader who has never hired an HR professional and is managing people yourself, start at the beginning and read straight through. Parts I and II will give you the foundation you need most urgently. Parts III and IV will help you plan for what comes next.

If you are the first HR hire in a company — perhaps you started this week or this month — go directly to Chapter 3 (The HR Audit and Priority Map) first, then read Chapter 2 to understand the nature of your role, then proceed in order. The appendices at the back of this book contain tools you can use from day one.

If you are a people leader in a scaling company, already past the startup phase and trying to professionalize your HR function, Parts IV and V are where you will find the most immediate value. Then loop back to Parts II and III to fill any gaps in the foundations.

If you are building a specific capability — a hiring process, a compensation framework, a performance review system — the chapter list is clear enough to take you directly to what you need.

A Note on Terminology

In this book, "startup" refers to companies in their early stage — typically 5 to 50 employees, pre-profitability, and still defining their business model.

"Scale-up" refers to companies that have found product-market fit and are growing rapidly — typically 50 to 500 employees.

"People leader" and "HR professional" are used interchangeably to refer to anyone whose primary responsibility is people operations, regardless of their title.

All legal and compliance examples are illustrative. Always consult qualified local legal counsel for advice specific to your jurisdiction.

Each chapter ends with Key Takeaways and Action Steps. These are not academic exercises. They are the specific things you should do this week to move your people function forward. Treat them as your personal to-do list.

The appendices contain templates and frameworks you can adapt and implement immediately. They are designed to save you the hours of creating things from scratch that every HR professional in a startup currently spends.

This book is a working tool. Write in the margins. Flag the pages you need to return to. Build with it in your hands.

Introduction

Chapter 1

The People Problem No One Prepared You for

Somewhere between the fifth hire and the fiftieth, almost every startup runs into the same wall.

The founding team was brilliant. The product was working. The funding came through. The team doubled, then doubled again. And then, quietly and then all at once, things started to break. Not the technology. Not the product. The people.

Someone left and took two direct reports with them. A team that used to move fast started missing deadlines and nobody could explain why. Two senior leaders stopped talking to each other. A manager who was a great individual contributor turned out to be a terrible people manager, and nobody knew what to do about it. The values the founders wrote on a whiteboard in 2019 felt hollow to people who had joined in 2023 and had never met the founders in person.

These are not unique problems. They are the predictable, almost universal problems of companies that build their product before they build their people infrastructure. And they are problems that a well- designed, well-timed HR function can prevent — or at least detect and address before they become existential.

The Startup HR Paradox

There is a paradox at the heart of HR in startups. The companies that most need strong people practices — the ones moving fast, making consequential decisions, and hiring aggressively — are often the least likely to invest in HR early. The reasons are understandable.

Founders are resource-constrained. Every dollar spent on HR is a dollar not spent on engineering or product or sales. HR feels like overhead until it suddenly feels like an emergency. And when it becomes an emergency — a harassment complaint, a

sudden wave of resignations, a culture clash after a senior hire — the damage is already done.

The research on this is unambiguous. Companies that invest in people infrastructure early — that build their hiring process, their onboarding, their performance framework, and their culture intentionally — grow faster, retain people longer, and build stronger organizations. The cost of getting HR wrong in a startup is not just the cost of the HR problems themselves. It is the cost of the product not built, the customers not served, and the mission not achieved because the team that should have built them left, burned out, or fell apart.

What This Book Does

HR From Scratch™ is built on one simple premise: every company has a people function, whether or not they have named it. Every time a founder makes a hiring decision, writes an offer letter, gives someone feedback, or decides not to address a behavior they are uncomfortable with, they are practicing HR. The question is not whether you will have a people function. The question is whether it will be intentional or accidental, designed or inherited, proactive or reactive.

This book gives you the tools to make it intentional.

It is organized around the natural progression of a company's people needs. Part I helps you understand the unique context of startup HR and where to focus first. Part II covers the structural foundations every company needs: policies, compliance, compensation, and hiring. Part III addresses the cultural and experiential dimensions of people work: culture design, onboarding, and performance. Part IV deals with the specific challenges of scaling: what changes when you go from 20 to 100 to 500 people, and how to build the HR team itself. Part V gives you the tools to operate effectively as a people leader: working with founders and CEOs, using data, and building for the long term.

Who You Are

This book is for three kinds of people.

The first is the founder or CEO who is also the accidental HR director — the person who is hiring, managing, and making people decisions without any formal HR training or support. You need practical guidance quickly, and you need it in language that respects your intelligence and your time constraints.

The second is the first HR hire — the person brought in specifically to build the people function. You may have come from an HR background in a larger company, or you may have been a generalist who stepped into the role. Either way, you are operating in a context that is nothing like the HR environments you were trained for, and you need a framework for knowing where to start and how to sequence your work.

The third is the people leader in a scale-up — someone who has been doing HR for a while in a growth company and is facing the challenge of professionalizing systems and processes that were built for a company half the size of the one they are now running.

Whoever you are, this book meets you where you are and gives you what you need to move forward.

The HR From Scratch™ Promise

Every framework in this book can be implemented by a team of one.

Every tool in the appendices is ready to use from day one.

Every chapter connects HR work to business outcomes.

No jargon without explanation. No theory without application.

Built for speed, designed for sustainability.

Let us begin.

Chapter 2

Before You Build

Understanding the Startup HR Context

Before you write a single policy or post a single job, you need to understand the terrain. Startup HR is not corporate HR with fewer resources. It is a fundamentally different discipline, operating under different constraints, at a different pace, and with different stakes. Part I helps you see the landscape clearly so you can navigate it with intention.

Chapter 1

Chapter 3

Why HR in Startups Is Different

""In a startup, HR is not a function. It is a survival skill.""

— Observed across hundreds of early-stage companies

Loop Logistics: Day One of the Story

Loop Logistics is fourteen people: nine engineers, two ops leads, a designer, a part-time recruiter working through an agency, and Jonah Pierce, the founder and CEO. There is no HR function. There is Jonah, a shared offer-letter template nobody remembers writing, and a Slack channel called #people-stuff where questions go to die. Two weeks ago, a senior engineer asked for a raise after finding out a newer hire, with less experience, was earning twelve percent more. Jonah does not have an answer, because there was never a decision to compare against — just a series of individually reasonable offers that, added together, are not defensible at all. This is where every startup's people function actually begins: not with a strategy, but with a moment exactly like this one.

When It Goes Wrong: The Fourteen-Month Free-

Fall

A 30-person logtech startup hired aggressively through a strong funding round with no HR involvement in the decisions: offers were verbal, negotiated individually, and undocumented.

Within fourteen months: attrition hit 40 percent, driven by pay inequity nobody had measured. Three key early hires resigned within the same month, citing a lack of any onboarding or growth path. The founder, having ignored two informal harassment complaints as "personality conflicts," received a formal legal notice from a departing employee's counsel. A hurried compensation correction, done under pressure rather

than by design, cost more in back-pay and legal fees than three years of a proper HR hire would have.

None of this was one bad decision. It was dozens of individually reasonable decisions, made with no one accountable for how they added up.

Decision Tree: Should you hire HR now?

Fewer than 20 employees, and the founder still personally knows every person's role and compensation? -> The founder manages HR directly, but should read this book cover to cover.

20-50 employees, and hiring/compensation decisions are starting to feel inconsistent or hard to explain? -> Hire your first HR generalist now, not after the first crisis.

50-150 employees, with more than one urgent people workstream running at once (hiring, compliance, culture)? -> A generalist alone is under-resourced. Add an HRBP and a dedicated recruiter.

150+ employees, with distinct functions (engineering, sales, ops) needing different people support? -> Build specialist roles: talent acquisition, total rewards, people operations, employee relations.

Your Downloadable Resource: The Founder's

People Decisions Log

A one-page running log every founder should start today, before any HR function exists.

Column 1: Every offer made — role, compensation, equity, start date.

Column 2: The reasoning — why this number, why this level, compared to whom.

Column 3: Every informal people commitment made verbally (a promised promotion, a flexible arrangement, a title change) that is not yet in writing.

Column 4: Every people complaint or concern raised, however informal, and how it was resolved.

This single log is the seed of your entire future HR audit trail — and the first thing a real HR hire will ask you for.

Founder Mistake #1

"We don't need HR yet. We're too small, and it feels like overhead."

Reality: You needed HR six months ago. HR is not a function that becomes necessary at a headcount threshold — it is a set of decisions (who to hire, what to pay them, how to treat them) that you are already making, every day, whether or not anyone is accountable for making them well.

AI for HR: Where It Helps Before You Have HR

Even with zero HR headcount, founders can use AI responsibly for a few narrow, low-risk tasks: drafting a first-pass offer letter template, summarising HR compliance requirements for your state or country as a starting checklist (always verify with counsel), and organising informal notes from the people- decisions log above into a coherent timeline.

Do not use AI to make the actual compensation or hiring decisions themselves, or to draft anything touching a specific employee's performance or a live grievance — those require human judgement and, often, legal review.

Startup Stage Roadmap

STAGE ROADMAP

10 employees: Founder manages all people decisions personally. No formal HR needed yet — but start the People Decisions Log today.

25 employees: Inconsistencies are starting to compound. This is the latest safe point to hire your first HR generalist.

50 employees: A single HR generalist is now stretched across hiring, policy, and culture simultaneously. Plan the next hire.